



Q.14) Nationalization of banks in post-independence India is often termed as "the single most important economic decision in terms of political, social and economic consequences". How far do you agree with this statement? (15 Marks, 250 Words)

स्वातंत्र्योत्तर भारत में बैंकों के राष्ट्रीयकरण को अक्सर 'राजनीतिक, सामाजिक और आर्थिक परिणामों के मामले में सबसे महत्वपूर्ण आर्थिक निर्णय' कहा जाता है। आप इस कथन से कितना सहमत हैं? (15 अंक, 250 शब्द)

India recently celebrated 50 years of bank nationalisation which was undertaken in 1969 by the Indira Gandhi Government.

It was considered as the most important decision on various terms:

Political

- It showcased the Indian commitment towards Socialism.
- It was done at a time of heyday of Cold war between Capitalism & Communism, thus it gave a political message as well.

- It involved the Indian Govt. in the banking sector for many decades to follow till 1991.

### Social

- It is considered to be an important step in financial inclusion.
- It reduced regional disparities that created social inequalities.
- Govt. could now use banking sector to fulfill its developmental objectives  
eg. Lead Banks scheme  
✓ Priority Sector Lending

### Economic

- It is considered to have created a viable model of banking in India.
- Public Sector Banks had more capitalisation and economic wherewithal for undertaking ↓ activities.  
lending



- Even today the only bank of India in global 100 is the nationalised SBI.

### Concerns with nationalisation of Banks

- ↳ Reduced competition and poor credit culture.
- ↳ High number of NPA's in PSBs raises concerns of its economic prudence.
- ↳ Financial inclusion has still not been achieved.

### Way forward

- ↳ Merge of banks to create fewer large banks
- ↳ Creating Public Sector Bank Network
- ↳ Financial inclusion through SHGs, etc.

Thus, while PSBs have served the country well, it is time to bring reforms in them according to PJ Nayak Committee Report.

Feedback (For OFFICE use only)

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